

FX Hedging Decision Memo – Stage 1

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Executive Summary (≤ 150 words)

This memo evaluates the foreign exchange (FX) risk facing a U.S. pharmaceutical exporter expecting to receive **€8,000,000** from a European customer. With the current EUR/USD spot exchange rate of **1.0890**, the company is exposed to the risk that the euro could depreciate before payment is received, reducing the U.S. dollar value of its export revenue. The objective is to recommend an appropriate hedging strategy that protects the company's expected cash flow while supporting financial stability. Based on the exporter's exposure and the assignment objectives, using a **forward contract** is the recommended strategy because it locks in a future exchange rate, eliminates exchange rate uncertainty, and allows the company to accurately forecast revenue and manage its operating budget.

Background & Objectives

The company is a U.S.-based pharmaceutical exporter that has agreed to sell products to a customer in Europe. Payment of **€8,000,000** will be received at a future date, creating foreign exchange exposure because revenues are denominated in euros while the company's expenses and financial reporting are primarily in U.S. dollars.

At the current EUR/USD exchange rate of **1.0890**, the expected payment is worth approximately **\$8,712,000**. However, if the euro weakens before payment is received, the company would receive fewer U.S. dollars, reducing profitability and potentially affecting budgeting, cash flow planning, and shareholder value.

The primary objective is to minimize exchange rate risk while ensuring predictable cash flows. Secondary objectives include maintaining financial stability, improving budgeting accuracy, and protecting profit margins from adverse currency movements.

Methods

The analysis identifies the company's foreign exchange exposure and evaluates available hedging alternatives.

The recommended strategy is to enter into a **forward foreign exchange contract** to sell the expected **€8,000,000** for U.S. dollars on the anticipated payment date. A forward contract allows the exporter to lock in an exchange rate today, eliminating uncertainty regarding the future value of the euro receivable.

This recommendation is appropriate because:

- The company knows the expected payment amount and timing.
- The primary concern is protecting revenue rather than speculating on currency movements.
- A forward contract provides complete protection against unfavorable exchange rate fluctuations.
- Fixed exchange rates improve financial forecasting and budgeting.

Alternative hedging methods such as currency options were considered. Although options provide downside protection while allowing participation in favorable exchange rate movements, they require an upfront premium and increase hedging costs. Since the objective is to reduce uncertainty rather than speculate, a forward contract offers the most practical and cost-effective solution.

Limitations & Next Steps

This recommendation assumes that the payment amount and payment date are known and that the exporter intends to hedge the entire foreign currency exposure. The analysis does not account for transaction costs, bid-ask spreads, changing interest rates, or potential credit risk associated with the counterparty.

The next steps are to:

1. Obtain forward exchange rate quotations from the company's financial institution.
2. Execute a forward contract matching the expected payment date.
3. Monitor the transaction until payment is received.
4. Evaluate the effectiveness of the hedge after settlement for future foreign exchange risk management decisions.

Responsibility for implementing the hedge should rest with the company's treasury or finance department.

References

Madura, J. (2024). *International Financial Management* (15th ed.). Cengage Learning.

Stauffer, A. (2026). *FX Hedging Stage 1 Assignment*. <https://adamwstauffer.github.io/ai-lms/fx-hedging-stage1.html>

Decision Memo Template. Retrieved from the Shidler College of Business course repository.